

SFS-001 — Riba in Deposit-Taking and Financing

Internal Sharia Compliance Manual · Mal Islamic Bank — Sharia Supervisory Board

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§1 Scope and application

§1.1 This document governs the prohibition of *riba* in every product through which the Bank receives funds from, or advances funds to, a counterparty. It applies to savings accounts, current accounts, term deposits, investment accounts, personal financing, working capital facilities, and any instrument economically equivalent to these.

§1.2 It applies to products offered by the Bank directly, through an agent, through a digital channel, and to any product white-labelled by the Bank for a third party.

§1.3 Where a proposed product falls under both this document and a structure-specific document, both apply. This document governs the question of whether a return is impermissible in principle; the structure-specific document governs how a permissible structure must be executed.

§2 Definitions

§2.1 *Riba* means any increase received over and above the principal of a loan or debt, where that increase is stipulated as a condition of the arrangement or accrues as a function of elapsed time rather than as the outcome of genuine commercial risk.

§2.2 *Riba al-nasi'ah* means a time-based increase on a debt. It is the form most commonly encountered in conventional deposit and lending products.

§2.3 *Riba al-fadl* means an unequal exchange of two quantities of the same fungible commodity in a spot transaction, such as an exchange of gold for gold in differing weights.

§2.4 *Predetermined return* means any return whose amount, or whose method of calculation, is fixed at the point of contracting such that the counterparty can compute it without reference to the outcome of any underlying enterprise.

§2.5 *Capital guarantee* means an undertaking by the Bank, express or implied, that the counterparty will receive back not less than the sum deposited.

§3 The governing principle

§3.1 The prohibition attaches to the *contractual guarantee* of a return, not to profit as such. Profit earned through trade, leasing, or participation in an enterprise that bears genuine risk of loss is permissible and is the basis of the Bank's business.

§3.2 A guaranteed return combined with a capital guarantee is the defining characteristic of an impermissible interest-bearing deposit. Where the Bank undertakes both to preserve capital and to pay a

predetermined return, the arrangement is a loan bearing interest in substance, whatever its label.

§3.3 Substance governs form. Naming a product an "Islamic savings account", describing interest as "profit", or expressing a rate as a "target" does not alter the character of the arrangement. The assessment turns on the obligations the Bank actually assumes.

§3.4 Risk and return must move together. A counterparty entitled to a return without any exposure to loss is receiving *riba*, irrespective of the mechanism by which the entitlement arises.

§4 Deposit products

§4.1 A deposit account that contractually guarantees the depositor a fixed or predetermined rate of return is not permissible. This holds regardless of whether the return is described as interest, profit, yield, bonus, or reward.

§4.2 A *Qard Hasan* current account is permissible, in which the Bank guarantees the principal and pays no return of any kind. Capital protection without return is acceptable; return without risk is not.

§4.3 A *Wadi'ah* safekeeping deposit is permissible where the Bank guarantees the principal and pays no contractual return. The Bank may make a discretionary gift (*hibah*), provided it is neither promised, advertised, calculated by a published formula, nor paid with such regularity that customers reasonably come to expect it as a term of the account.

§4.4 A *Mudarabah* investment account is permissible, in which the depositor supplies capital, the Bank manages it, and realised profit is shared according to a ratio agreed in advance. The sharing *ratio* may be fixed; the *amount* may not. See [SFS-005 §2].

§4.5 The Bank may publish historical profit rates for a *Mudarabah* account. It may not present an indicative future rate in terms that a reasonable customer would understand as a promise.

§5 Financing products

§5.1 The Bank may not advance money and require repayment of a greater sum. Financing must be effected through a permissible structure such as those in [SFS-002] or [SFS-003].

§5.2 A fee charged on a financing facility is permissible only where it represents recovery of an actual administrative cost incurred by the Bank. A fee calculated as a percentage of the amount financed, or accruing with elapsed time, is *riba* in substance.

§5.3 The Bank may not charge additional profit for late payment. A late-payment charge is permissible only where it is donated to charity and does not accrue to the Bank's income. See [SFS-002 §6].

§5.4 The Bank may require security, and may accelerate an outstanding debt on default, provided the amount claimed does not exceed the amount contractually due.

§6 Documentation requirements

§6.1 The product's term sheet must state the basis of any return, and must distinguish clearly between a contractual entitlement and a discretionary payment.

§6.2 Marketing material must not describe a discretionary payment in terms that imply entitlement.

§6.3 Where a product relies on a *Mudarabah* structure, the profit-sharing ratio and the loss-bearing arrangement must be disclosed to the customer before the account is opened.

§7 Assessment criteria

§7.1 A product is **non-compliant** on riba grounds where all of the following hold: the customer transfers money to the Bank; the Bank guarantees repayment of that money in full; and the customer is entitled to a predetermined additional amount.

§7.2 A product is **not** riba where the return varies with the actual performance of an underlying asset or enterprise and the customer bears a genuine share of any loss.

§7.3 A product **requires review** where it guarantees principal and pays a variable, discretionary, non-formulaic amount, because the discretion may prove nominal in practice. The reviewer should examine payment history and marketing language, not only the contract.

§7.4 A product **requires review** where a fee is charged on a financing facility and it is unclear whether the fee recovers an actual cost or functions as disguised interest.

Sources and attribution

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- AAOIFI Shari'ah Standards — principles concerning *riba*, deposits and loans
- IFSB-1: Guiding Principles of Risk Management for Institutions Offering Islamic Financial Services
- Bank Negara Malaysia, Shariah Standards on Wadi'ah and Qard